

KAREN PAGE WINTERICH and MICHAEL J. BARONE*

Across five studies, the authors investigate how social identification influences consumer preference for discount-based promotions (i.e., cents-off deals) versus donation-based promotions (in which purchase results in a donation to a charitable cause). In doing so, they demonstrate the interplay between self-construal and a specific social identity (i.e., that associated with the particular charity featured in a donation-based promotion) on consumers' preferences for these two types of promotions. The results show that, in general, consumers possessing interdependent self-construals prefer donations to a greater extent than those with independent self-construals. However, the findings further indicate that these effects of self-construal are attenuated if (1) the donation-based promotion does not involve a charity that is identity congruent or (2) a cause-congruent identity is more salient than self-construal at the time of decision making. The authors also identify boundary conditions of charity efficiency and product type for these self-construal effects. In addition to demonstrating how multiple identities interact to influence consumer promotion preferences, the authors discuss important managerial implications regarding the use of discount versus donation-based promotions.

Keywords: promotions, donations, self-construal, identity, cause-related marketing

Warm Glow or Cold, Hard Cash? Social Identity Effects on Consumer Choice for Donation Versus Discount Promotions

Imagine going to purchase some bottled water and being faced with two options: One brand offers a traditional, cents-off price discount to induce purchase; rather than providing a discount, a second brand ties full-price purchase of its product to a charitable donation equal to the deal offered

by the first brand. Do you select the offer that provides a direct benefit to you through a reduced price or that which benefits a charitable cause in the form of a donation? Does your decision further depend on dispositional tendencies (i.e., whether you are inclined to consider the welfare of others) and/or how strongly you identify with the cause that benefits from your purchase of the second brand? And do factors associated with both the charity (i.e., how efficiently it operates) and the product (i.e., whether it is indulgent) affect your preference?

We investigate these questions, all of which have important theoretical and pragmatic implications. Given that promotional activities constitute a significant percentage (in many instances, more than half) of firms' marketing budgets (Ailawadi et al. 2006), a large research literature has evolved examining the effectiveness of discount-based promotions. Although they are capable of improving important

*Karen Page Winterich is Assistant Professor of Marketing, Smeal College of Business, Pennsylvania State University (e-mail: kpw2@psu.edu). Michael J. Barone is Professor of Marketing and University Scholar, College of Business, Department of Marketing, University of Louisville (e-mail: michael.barone@louisville.edu). The authors contributed equally to this article. Data for four of the studies reported here were collected in the Jeffrey S. Conant Behavioral Research Laboratory while the first author was on the Marketing Faculty in the Mays Business School at Texas A&M University. The authors appreciate helpful comments on earlier versions of this article from Jennifer Argo and Sharon Shavitt as well as the beneficial comments from the entire review team. This research was supported in part by a research grant from the Smeal College of Business, Pennsylvania State University. James Bettman served as associate editor for this article.

marketing metrics (e.g., sales volume, store traffic; see Aribarg and Arora 2008), discounts can also adversely affect price sensitivity and brand equity (Blattberg and Neslin 1990). These potentially harmful effects of price discounts have prompted managers to consider alternative sales promotion tactics, including donation-based promotions, in which product purchase triggers contributions to charities. Similar to traditional deals, donation-based promotions can increase sales response (Krishna and Rajan 2009), possibly without the negative effects of discounts (Arora and Henderson 2007; Henderson and Arora 2010).

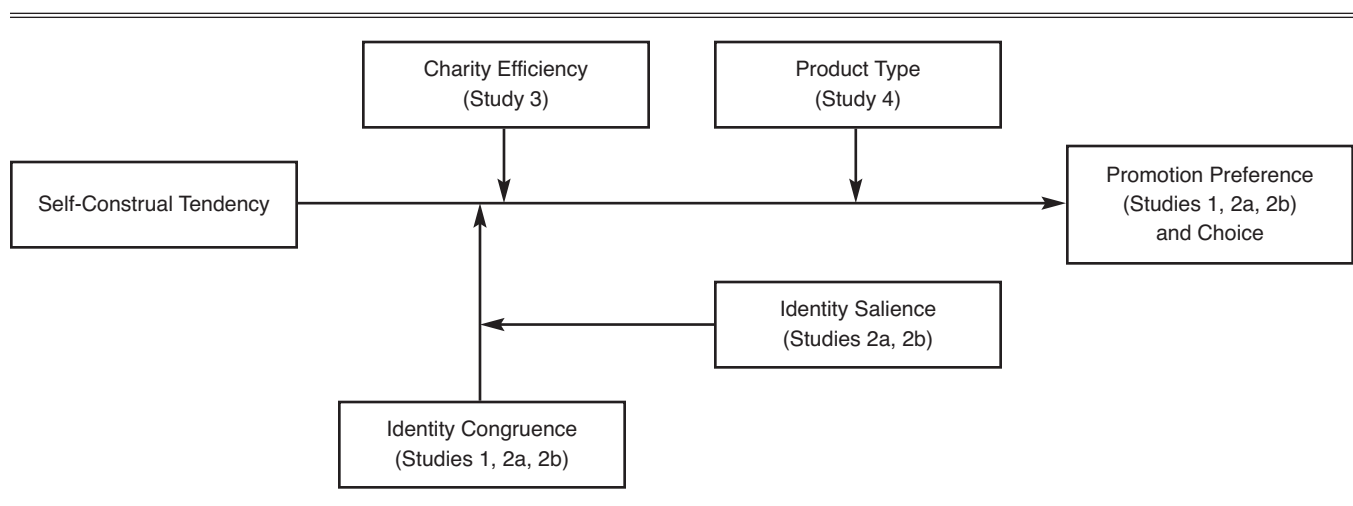
The emergence of donation-based promotions in the marketplace is evidenced by a substantial increase in annual spending on this form of sales promotion, from roughly \$100 million in 1990 to more than \$1.5 billion in 2009 (IEG 2009). One reason donation-based promotions are becoming more commonplace in promotional strategies lies in their effectiveness: 80% of consumers report that they would switch to a brand that supports a cause when it is equal in price and quality to other brands (Cone 2010). However, although consumers want companies to engage in cause-based marketing, only 19% of consumers indicate they are willing to buy a more expensive brand to support a cause (Cone 2010), suggesting that many still prefer discount-based promotions.

The growing reliance on donation-based promotions has prompted investigations of such offers relative to traditional deals. A notable difference between these two promotional approaches is that traditional discounts generate favorable outcomes for the purchaser, whereas donation-based promotions trigger rewards that benefit an entity—a social cause or charity—other than the purchaser (Arora and Henderson 2007). This distinction is meaningful because it creates the potential for the relative impact of these two types of promotions to be influenced by social identification processes, through which an association with other people or groups (e.g., donating to a charity) can contribute to the consumer's self-image. In particular, the noneconomic (i.e., social) benefits associated with donation-based promotions may make consumer evaluations of these offers particularly susceptible to social identification effects. However, while

extant research has considered the impact of consumer identities on evaluations of charitable appeals (e.g., Arnett, German, and Hunt 2003; Shang, Reed, and Croson 2008) and on traditional deals (e.g., Barone and Roy 2010), the interactive influence of multiple identities on the effectiveness of donations versus discounts has yet to be examined.

To address this void, we study the interplay of self-construal (e.g., a consumer's general tendency to identify with groups) and, more specific, cause-related social identities (e.g., a consumer's level of identification with the particular charity featured in a donation-based promotion). Examining the interactivity between these two potentially competing social identities on consumer preference for discounts versus donations adds to our understanding of social identification processes and, in doing so, addresses calls for further inquiry into the influence of multiple and malleable social identities (Oyserman 2009; Shavitt, Torelli, and Wong 2009). Accordingly, we present five studies that represent an initial examination into the potential interactive effects between self-construal and cause-related social identities. Study 1 demonstrates that when the cause is congruent with the consumer's identity, self-construal influences promotion evaluation, with interdependent (independent) consumers preferring donations (discounts). Building on this general finding, Studies 2a and 2b demonstrate that identity salience moderates the effect of self-construal on promotion preference for identity-congruent causes. In addition to the boundary conditions established in these two studies, we also document the role of two other moderators of these self-construal effects. Study 3 demonstrates that inefficient charities can decrease the likelihood of interdependent consumers to choose the donation-based promotion, whereas Study 4 shows that the likelihood of independent consumers choosing the discount promotion is reduced when the promotion is associated with purchase of an indulgent product. Figure 1 presents a framework summarizing the general theoretical relationships that we propose to exist between these variables as well as an overview of the program of studies undertaken to empirically assess these relationships.

Figure 1
THEORETICAL FRAMEWORK



CONCEPTUAL FRAMEWORK

Given that both discounts and donations entail costs that can adversely affect a firm's bottom line, a critical question involves the return on investment available from these two forms of sales promotion. However, only a handful of investigations examine the impact of donations relative to traditional discounts. In what seems to be an initial inquiry into this issue, Strahilevitz and Myers (1998) observe that the effectiveness of donations (vs. discounts) was enhanced for hedonic versus utilitarian products. More recently, Henderson and Arora (2010) conclude that donations can be more efficient than discounts because of enhanced brand preference and lower deployment costs, particularly when both promotions involve low incentive values (Arora and Henderson 2007). Because such findings establish contingencies into consumers' relative preference for discounts versus donations, they provide some initial insight into this promotional strategy dilemma. Nonetheless, given the nascent stage of research into this issue as well as the increasing complexity of donation-based promotions (e.g., coverage, customization options; see Arora and Henderson 2007), additional work exploring when and why donations may yield response advantages over traditional deals is warranted to gain a more complete and nuanced understanding of consumer sensitivity to these promotional approaches. In an effort to provide such insight, we consider the role of a previously unexplored aspect of consumer choice involving discounts and donations in the form of social identification processes.

Self-Construal Versus Cause-Related Social Identity Effects on Promotion Preference

Social identification reflects the extent to which people perceive that they are connected with a group (Oyserman 2009) and pertains to any self-view that involves consideration of others (Brewer and Gardner 1996). The processing of information germane to social identification is governed by people's self systems, which can contain multiple, and possibly hierarchically ordered, social identities (Markus and Wurf 1987). In this context, self-construal represents one form of social identity that reflects people's general disposition to adopt interdependent construals emphasizing group relationships or independent construals highlighting their individuality (Brewer and Gardner 1996; Singelis 1994). As such, self-construals are likely to be chronically accessible during decision making (Markus and Kitayama 1991) and highly relevant to a wide range of judgments (Markus and Wurf 1987; Oyserman 2009). In addition, people may hold more specific social identities (e.g., a "cause-related identity") that reflect their level of identification with a particular charity. As examples, whereas urban citizens may identify strongly with the Fresh Air Fund, armed forces personnel may exhibit higher levels of identification with a cause such as Cell Phones for Soldiers. As more specific forms of social identity, cause-related identities are likely to be applicable to a more finite set of evaluations than self-construal (Markus and Wurf 1987; Oyserman 2009).

Identifying the scope of their evaluative influence is important in predicting the range of judgments that may be affected by self-construal and cause-related identities.

Given their wide-ranging applicability, self-construal should a priori shape consumers' preferences for donations versus discounts. In particular, because they benefit others (i.e., charity recipients), donation-based promotions should be more favorably evaluated by interdependent consumers, an expectation consistent with research indicating that such people prefer situations that provide advantages to others over themselves (Swaminathan, Page, and Gürhan-Canli 2007; Zhang and Shrum 2009). In contrast, because discounts provide consequences that primarily benefit the purchaser, these deals should be more compatible with the goals held by people with independent self-construals (Barone and Roy 2010) and should therefore be evaluated more favorably by these consumers.

Nonetheless, under certain conditions, cause-related identities may also affect promotion preferences. In this regard, contextual factors associated with a judgment may constrain the influence of self-construal, creating the potential for specific social identities to affect evaluations (Markus and Wurf 1987; Oyserman 2009; Shavitt, Torelli, and Wong 2009). The presence of certain contextual cues (e.g., the charity featured in a donation-based promotion) can make social identities that pertain to a cause salient during decision making, enhancing their influence on evaluations (e.g., LeBoeuf, Shafir, and Bayuk 2010; Oyserman 2009; Reed 2004; Shavitt, Torelli, and Wong 2009). In the following section, we detail how the effect of self-construal on promotion preference is likely to depend on whether donation-based promotions activate a specific, cause-related identity that is congruent with (and therefore relevant to) the interests of consumers.

The Role of Identity-Congruence

The dynamic nature of self systems suggests that a person's self-construal may be accessible along with other social identities at any given time, depending on factors associated with the decision at hand (Oyserman 2009; Shavitt, Torelli, and Wong 2009). As guides to information processing, self systems are particularly likely to be activated during judgments that people view as important or self-relevant (Markus and Wurf 1987). In our framework, the cause referenced in a donation-based promotion should serve as a cue that evokes a related social identity (Reed 2004). When the cause is congruent with the interests of target consumers, the donation-based promotion should activate a cause-related identity as well as other elements of the self system, including the person's self-construal tendency (Markus and Wurf 1987). If so, both self-construal and specific cause-related identities may be accessible to the point at which they possess the potential to influence promotion preferences.

However, given the fundamental role that construals are posited to play in decision making (Markus and Kitayama 1991; Markus and Wurf 1987; Oyserman 2009), including consumer judgments (Ahluwalia 2008; Hamilton and Biehal 2005; Zhang and Shrum 2009), all else being equal, we expect such self-views to govern the influence of cause-related identities on promotion preference. When a donation features an identity-congruent cause that cues a related social identity, we expect interdependent consumers to prefer donations and independent consumers to prefer discounts. In contrast, when the charity is incongruent with the

consumer's identity, neither self-construal nor the cause-related identity are likely to be sufficiently engaged during decision making (Reed 2004; Shang, Reed, and Croson 2008) to influence consumer preferences for donation promotions. We explore these possibilities in Study 1.

STUDY 1: THE ROLE OF IDENTITY-CONGRUENCE

Method

A total of 168 undergraduate students (52% female) participated in the study for research credit. In a three-level, one-factor, between-subjects design, we randomly assigned participants to evaluate one of three sales promotions for a regional bottled water brand. After evaluating the promotional offer, participants completed a measure of self-construal.

Promotion type. We assigned participants to one of three promotion conditions (discount, identity-congruent donation, or identity-incongruent donation). The discount promotion offered consumers a 15-cent discount on each purchase, while the donation promotion offered a 15-cent donation from each full-price purchase to a charity to fight hunger. According to research indicating that students form strong identities to their university (Arnett, German, and Hunt 2003), the promotion in the congruent donation condition included a 15-cent donation to a university-affiliated, local charity fighting hunger (i.e., AggiesCAN), while the incongruent donation condition involved an international charity fighting hunger that was not associated with the school (i.e., World Vision). A pretest ($N = 53$) indicated that participants perceived the local charity ($M = 5.32$) as more identity-congruent than the international charity ($M = 4.33$; $t = 2.24$, $p < .05$; on a seven-point scale); importantly, a measure of charity evaluation ("bad/good," "negative/positive," "unfavorable/favorable"; $\alpha = .96$) indicated that the two charities were perceived equally favorably (on a nine-point scale; $M_{\text{local}} = 8.44$ vs. $M_{\text{nonlocal}} = 8.08$; $t = 1.77$, not significant [$n.s.$]). Both donation conditions used actual charities and included a description of the charity adapted from the organization's website.

Self-construal and promotion preference. Participants then completed Singelis's (1994) scales for independent (12 items; $\alpha = .68$) and interdependent (12 items; $\alpha = .67$) chronic self-construals (1 = "strongly disagree, and 7 = "strongly agree"). We constructed a self-construal index as follows: $(\text{interdependent} - \text{independent}) / (\text{interdependent} + \text{independent})$ (see Escalas and Bettman 2005), with higher scores reflecting greater interdependence ($M = .004$, $SD = .09$). These responses were not affected by the promotion type manipulation ($F(2, 167) = .59$, $n.s.$). We assessed promotion evaluations with three nine-point scales ("bad/good," "negative/positive," and "unfavorable/favorable"; $\alpha = .95$).

Results

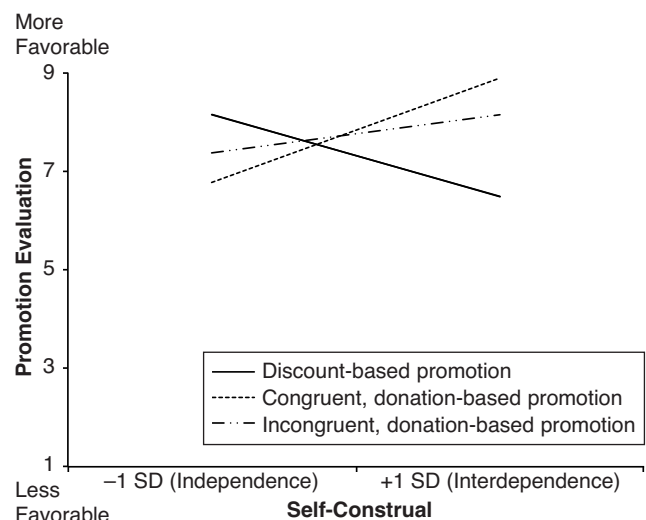
Promotion evaluation. We anticipated an interaction between self-construal and promotion type such that interdependent consumers should more positively evaluate donation-based promotions involving an identity-congruent cause, whereas independent consumers should more positively evaluate discount-based promotions. We conducted an analysis of covariance with promotion evaluation as the dependent variable and self-construal (measured continuously), the three levels of promotion type, and the self-

construal $\times$ promotion type interaction as independent variables. Although neither the effect of self-construal nor promotion type was significant, the expected self-construal $\times$ promotion type interaction was significant ($F(2, 167) = 5.34$, $p < .05$; Figure 2).¹ To analyze this interaction, we examined the effect of self-construal on promotion evaluation for each promotion type. For the identity-congruent donation, self-construal was significant such that the more interdependent participants were, the more positively they evaluated the offer ($F(1, 48) = 5.90$, $p < .05$). For the discount, self-construal was also significant ($F(1, 56) = 4.62$, $p < .05$), as the favorability of evaluations was positively related to independence level. However, when the donation involved an incongruent cause, self-construal was not significant ($F(1, 61) = .59$, $n.s.$).

Discussion. Study 1 provides support for the effects of self-construal and identity congruence on promotion preference. We found that interdependent consumers evaluated a donation featuring a congruent (local) charity more favorably than independents. Moreover, as we anticipated, this effect of self-construal did not carry over to an incongruent donation involving a nonlocal cause. These findings indicate that self-construal may only affect promotion preferences when the cause associated with the donation triggers a relevant social identity. Our results also suggest that independent consumers evaluate a discount more favorably than do interdependent consumers. Notably, we obtained these findings using a between-subjects design, mitigating concerns regarding potential self-presentation biases associated with the within-subject designs employed in subsequent studies.

¹Given the potential relationship between self-construal and gender (Ahluwalia 2008; Markus and Kitayama 1991), we also conducted analyses that included gender. In this and all remaining studies, we found that (1) gender did not significantly interact with other design factors and (2) including gender as a covariate did not influence any of the observed results or any substantive conclusions drawn from such findings.

Figure 2
STUDY 1: EFFECT OF IDENTITY CONGRUENCE AND SELF-CONSTRUAL ON PROMOTION EVALUATIONS



In our theorizing to this point, we have accorded cause-related identities a somewhat secondary role in decision making, allowing them to serve primarily to engage consumer self-construals that, in turn, affect judgment. Consequently, we expected self-construals to govern the influence of cause-related identities on promotion preferences under *ceteris paribus* conditions. In the following section, we consider how the relative salience of self-construal and a cause-related identity during decision making may influence consumers' promotion preferences. In doing so, we draw on models of situated cognition indicating that specific social identities may, in certain contexts, have a heightened impact on decisions (Oyserman 2009). Specifically, we consider the potential for promotion preferences to be driven by cause-related identities to a greater extent than they are influenced by self-construals. Note that this possibility suggests that, rather than playing a supplemental role as demonstrated in Study 1, specific (i.e., cause-related) social identities may under certain circumstances supplant self-construal with regard to their evaluative impact. We examine this potential impact of identity salience on consumer preferences for discounts versus donations in the following two studies.

STUDIES 2A AND 2B: THE ROLE OF IDENTITY SALIENCE

When multiple consumer identities (e.g., self-construals, cause-related identities) are activated during decision making, ensuing judgments should be governed by identity salience effects (i.e., by the relative salience of these accessible identities; LeBoeuf, Shafir, and Bayuk 2010; Reed 2004). This rationale is consistent with findings revealing the influence of identity salience on a multitude of consumer judgments, including preferences for corporate social responsibility initiatives and nonprofit giving (e.g., Arnett, German, and Hunt 2003; Reed 2004). Presuming that donation-based promotions involve causes that consumers view as relevant (i.e., under conditions of identity congruence), promotion preference should be dependent on the relative salience of self-construal compared with cause-related identities. When self-construal holds a salience advantage, we expect to replicate the findings from Study 1 such that interdependent consumers prefer donations more than independent consumers. In contrast, when a cause-related identity holds a salience advantage, the influence of this identity should dominate the effects of self-construal (Reed 2004). In such instances, consumers should prefer donations that benefit an identity-congruent cause regardless of their self-construal tendencies (i.e., both independent and interdependent consumers will prefer donations over discounts). Finally, as demonstrated in Study 1, when donation-based promotions are not congruent with an identity, preferences should not be affected by self-construals or cause-related identities regardless of which component of the self system enjoys greater salience.

Study 2a

We randomly assigned 225 undergraduate students (33% female) participating in the study for research credit to a 2 (cause congruence: congruent vs. incongruent) $\times$ 2 (salience: self-construal vs. cause identity) $\times$ 2 (promotion order: dis-

count vs. donation first) between-subjects design with self-construal as a measured, continuous variable.²

Identity salience. Participants first completed two tasks, the order of which was counterbalanced to achieve the salience manipulation: (1) completion of self-construal scales, assessed as relative interdependence ($\alpha = .90$) versus independence ($\alpha = .83$) using the same approach described in Study 1 ($M = .01$, $SD = .10$), and (2) a writing task designed to elicit their cause-related (university) identity, which was more congruent with the university-affiliated charity featured in the congruent cause condition than the international charity referenced in the incongruent cause condition (for a similar procedure, see Reed 2004). Thus, if participants completed the self-construal measure (writing task) second, their self-construal (cause identity) should be more salient.

To ensure that the salience manipulation operated as intended, we conducted a pretest ($N = 84$) using undergraduate students from the same population as the main study. After completing both tasks (i.e., the self-construal scale and the writing task eliciting their university identity), participants responded to two seven-point measures: (1) "At this moment, to what extent are you thinking more about how you view your relationships and interact with others in general than your identity specifically as a [university name] student?" and (2) "At this moment, to what extent are you thinking about your identity as a [university name] student?" We conducted a repeated-measures analysis, which indicated a significant interaction between salience condition and self-construal measure ($F(1, 82) = 21.44$, $p < .05$). As desired, participants in the self-construal-salient condition indicated that they were thinking more about their general relationships with others than those in the university identity-salient condition ($M = 5.51$ vs. 4.29 ; $t = 3.17$, $p < .05$). In contrast, participants in the university identity-salient condition reported thinking more about their university affiliation than those in the self-construal-salient condition ($M = 5.05$ vs. 3.56 ; $t = 4.09$, $p < .05$). Collectively, these results indicate that the identity salience manipulation operated in the desired way.

Cause congruence. Next, participants viewed a discount for a regional bottled water brand presented side-by-side with one of two donations featuring either a congruent or an incongruent cause. As in Study 1, both causes were actual charities: The congruent (local) cause was identical to that used in Study 1 (i.e., AggiesCAN), but the incongruent (nonlocal) cause was different than that referenced in Study 1 (i.e., Second Harvest). We conducted a pretest ($N = 70$), which indicated that participants perceived the local charity as more congruent with their identity than the nonlocal (international) charity ($M_{\text{local}} = 5.41$ vs. $M_{\text{nonlocal}} = 4.24$; $t = 3.28$, $p < .05$; seven-point scale) and that the two charities were evaluated equally favorably ($M_{\text{local}} = 7.56$ vs. $M_{\text{nonlocal}} = 7.97$; $t = 1.83$, n.s.; nine-point scale).

Promotion preference. After viewing the two promotions, participants responded to four items (for all items, see the Web Appendix at <http://www.marketingpower.com/jmroct11>) to indicate their promotion preference (1 = "definitely Pro-

²Because promotion order did not have a significant effect on promotion preference in Study 2a or any subsequent studies, we collapse across this factor in our analyses.

motion A,” and 7 = “definitely Promotion B”). We averaged responses to form a preference index ($\alpha = .85$).

Results

Promotion preference. Recall that we expect (1) interdependent (independent) consumers to have a greater preference for identity-congruent donations (for discounts) when self-construal is more salient, (2) consumers to prefer identity-congruent donations regardless of self-construal tendency when a cause-related identity is more salient, and (3) preferences not to be affected by either identity when the donation features an identity incongruent cause. These predictions suggest a three-way interaction of self-construal, identity congruence, and identity salience. To evaluate this expectation, we conducted a regression analysis with all variables mean-centered (Aiken and West 1991). We present the results in both Table 1 and Figure 3.

Most critical to testing our framework, the salience $\times$ donation cause $\times$ self-construal interaction was significant ($\beta = .14$ (2.34), $t = 2.14$, $p < .05$). To assess this interaction more completely, we regressed promotion preference on the interaction of self-construal and salience separately for congruent and incongruent donations (Aiken and West 1991). When the featured cause was not congruent with participants' social identity, this interaction was not significant ($\beta = .06$ (3.26), $t = .69$, n.s.). In contrast, when the donation featured an identity-congruent cause, the self-construal $\times$ salience interaction was significant ($\beta = -.22$ (3.33), $t = -2.33$, $p < .05$). We further explored this interaction by examining the simple slope of self-construal in each salience condition. When a congruent cause-related social identity was more salient, the effect of self-construal was not significant ($\beta = -.18$ (2.42), $t = -1.34$, n.s.). However, when self-construal enjoyed greater salience, interdependent (vs. independent) consumers reported greater preference for the congruent donation ($\beta = .41$ (2.37), $t = 2.66$, $p < .05$). Collectively, these findings support our theorizing by indicating that self-construal affects preferences only for congruent donations when self-construal is more salient than social identity; in contrast, when a cause-related identity is more salient, preferences for the congruent donation are unaffected by self-construal.

Study 2b

We randomly assigned 252 undergraduate students (54% female) participating for research credit to a 2 (primed self-

construal: interdependent vs. independent) $\times$ 2 (cause congruence: congruent vs. incongruent) $\times$ 2 (salience: low vs. high, measured continuously as importance of business student identity) $\times$ 2 (promotion order: discount first vs. donation first) $\times$ 2 (product promotion amount: 50-cent cereal vs. 20-cent bottled beverage) mixed design with cause congruence and product promotion amount as within-subject factors. Thus, participants evaluated a discount and a donation for a bottled beverage brand and a discount and a donation for a cereal brand, randomly viewing the cause-(in)congruent donation promotion with either the cereal or beverage brand. We collapsed across promotion amount in all subsequent analyses, given that this factor did not interact with other design factors or influence our results.

Self-construal. In contrast to the previous studies, we manipulated self-construal by having participants write how they were similar to (interdependent) or different from (independent) their friends and family (Trafimow, Triandis, and Goto 1991). A six-item scale adapted from Hamilton and Biehal (2005) served as the manipulation check, with

Figure 3

STUDY 2a: EFFECT OF IDENTITY SALIENCE, CONGRUENCE, AND SELF-CONSTRUAL ON PROMOTION PREFERENCES

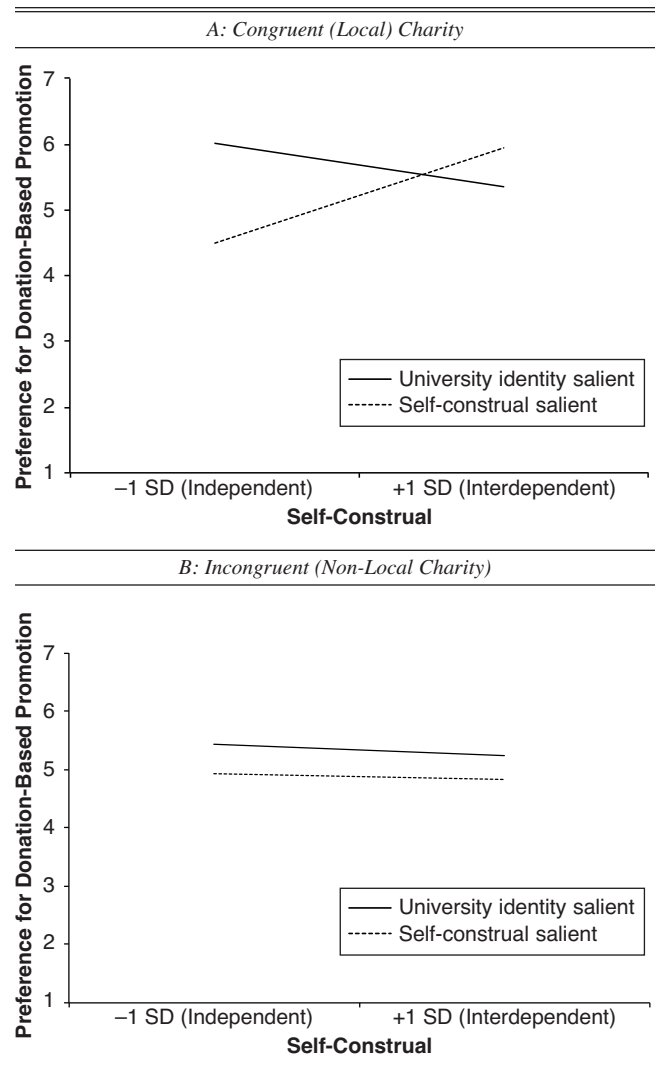


Table 1

EFFECT OF SELF-CONSTRUAL, IDENTITY CONGRUENCE, AND IDENTITY SALIENCE ON PROMOTION PREFERENCE (STUDY 2A)

Independent Variable	Unstandardized Coefficient Estimate	Standardized Coefficient Estimate	t-Value
Self-construal (SC)	.62	.04 (1.16)	.54
Identity congruence (IC)	-.34	-.09 (.24)	-1.44
Identity salience (IS)	.23	.13 (.12)	1.98*
SC $\times$ IC	-2.75	-.08 (2.33)	-1.18
SC $\times$ IS	-2.74	-.15 (1.17)	-2.35*
IC $\times$ IS	.02	.00 (.24)	.06
SC $\times$ IC $\times$ IS	4.99	.14 (2.34)	2.14*

* $p < .05$.

higher scores indicating greater interdependence (for all items, see the Web Appendix at <http://www.marketingpower.com/jmroct11>). Confirming the success of this manipulation, participants in the interdependent condition reported a greater interdependent focus than those in the independent condition ($M_{\text{inter}} = 4.16$ vs. $M_{\text{indep}} = 3.81$; $t = 3.82$, $p < .01$).

Identity salience. We measured student identity salience by the degree to which participants identified with being a business student ("To what extent do you consider yourself to be a serious business student?" 1 = "not at all," and 7 = "very much so"; $M = 5.09$, $SD = 1.56$). This item was embedded in a set of filler measures. Presumably, the more strongly participants identified with being a business student, the more salient this specific social identity should be compared with their self-construal level. Correspondingly, responses indicating weaker identification levels should reflect a lower salience of the business student identity than self-construal.

Cause congruence and promotion preference. The donation featured a cause that should be viewed as either congruent (Educational Foundation) or incongruent (Action for Healthy Kids) with participants' business student identity. As desired, participants perceived the Educational Foundation ($M = 3.70$ on a seven-point scale) as more congruent with their identity than Action for Healthy Kids ($M = 2.83$, $t = 5.31$, $p < .05$). Moreover, participants evaluated both of these (actual) nonprofit organizations equally favorably ($M = 8.10$ vs. $M = 8.14$; $t = -.34$, n.s.). Participants reported their promotion preferences using the four items in Study 2a ($\alpha = .90$).

Results

Promotion preference. We tested whether the pattern of results for Study 2a would replicate using measured student identity salience and manipulated self-construal. A regression analysis revealed a significant identity salience $\times$ donation cause $\times$ self-construal interaction ($\beta = -.15$ (.14), $t = -2.47$, $p < .05$; see Table 2 and Figure 4). We further assessed this three-way interaction by examining the self-construal $\times$ identity salience interaction in each level of the donation cause factor (congruent, incongruent). This analysis revealed a significant interaction only when the cause was congruent with participants' identities—that is, for the donation supporting the Educational Foundation ($\beta = -.20$ (.19), $t = -2.41$, $p < .05$; for the donation made to the Action

for Healthy Kids cause, $\beta = .09$ (.19), $t = 1.11$, n.s.). We followed up the significant two-way interaction associated with the Educational Foundation cause by examining the simple slope of self-construal at one standard deviation above and below the average score for identity salience. When business school identity was less salient, self-construal affected preferences such that interdependent consumers reported greater preference for the congruent donation than independent consumers ($\beta = .38$ (.27), $t = 3.16$, $p < .05$). However, when participants' business school identities were more salient, the simple slope of self-construal was not significant ($\beta = -.03$ (.27), $t = -.24$, n.s.), replicating the effect observed in Study 2a.

Discussion

Studies 2a and 2b both provide support for our framework by indicating that self-construal affects preferences only for identity-congruent donations, provided that self-construal is more salient than a cause-related social identity

Figure 4
STUDY 2b: EFFECT OF BUSINESS STUDENT IDENTITY SALIENCE, CONGRUENCE, AND SELF-CONSTRUAL ON PROMOTION PREFERENCE

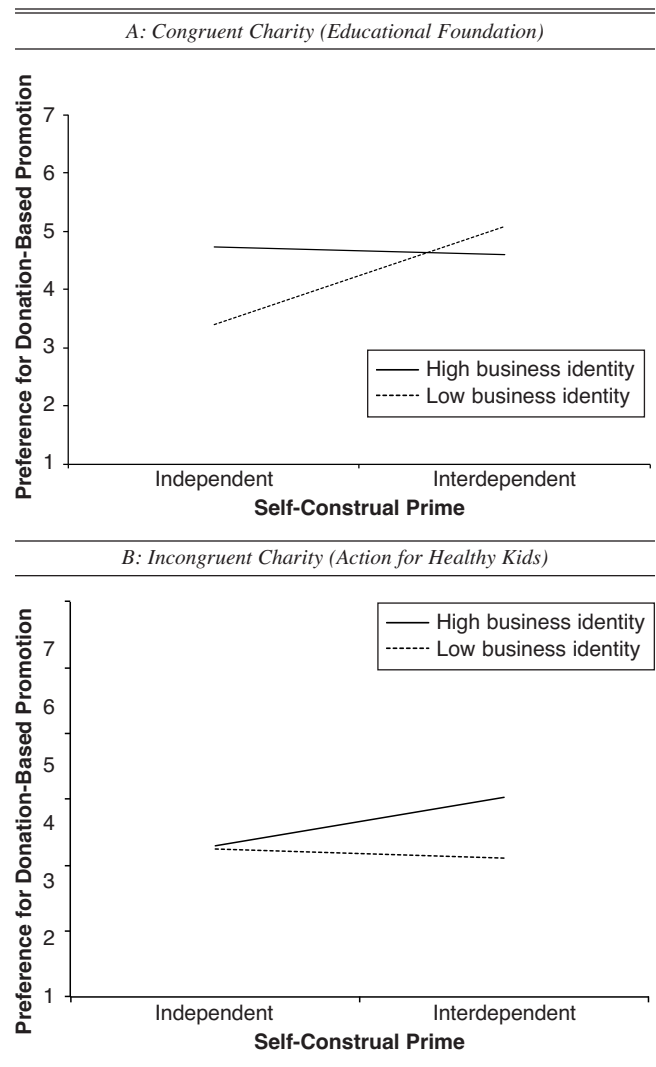


Table 2
EFFECT OF SELF-CONSTRUAL, IDENTITY CONGRUENCE, AND IDENTITY SALIENCE ON PROMOTION PREFERENCE (STUDY 2B)

Independent Variable	Unstandardized Coefficient Estimate	Standardized Coefficient Estimate	t-Value
Self-construal (SC)	.27	.12 (.14)	1.98*
Identity congruence (IC)	.52	.23 (.14)	3.84*
Identity salience (IS)	.23	.10 (.13)	1.70
SC $\times$ IC	.12	.05 (.14)	.89
SC $\times$ IS	-.12	-.05 (.13)	-.88
IC $\times$ IS	-.02	-.01 (.13)	-.12
SC $\times$ IC $\times$ IS	-.33	-.15 (.14)	-2.47*

* $p < .05$.

during promotion evaluation. In contrast, when participants' cause-related identities were more salient, preferences for donation-based promotions were not influenced by self-construal. Furthermore, we show the robustness of these effects across the two studies through the use of measured and manipulated self-construal, measured and manipulated identity salience, two cause-related identities (university and business student), four charities, three product categories, and three incentive amounts (in Study 2a, 15 cents for bottled water; in Study 2b, 50 cents for cereal and 20 cents for beverages).

One consistent finding in these studies is that, assuming identity congruence and sufficient self-construal salience, consumers with interdependent self-construals exhibit stronger preferences for donations than consumers with independent self-construals. As we noted previously, such a preference is consistent with the motives these consumers possess involving the welfare of others. A primary objective of Study 3 is to identify contexts in which the donation promotion may not be perceived as providing as great a benefit to others, thereby attenuating the effect of interdependent self-construal on promotion preferences. A secondary objective of this study is to demonstrate that these preference effects hold in a context involving actual choices participants make rather than the self-reported preferences assessed in the preceding studies, given the potential shortcomings associated with the latter measures.³

STUDY 3: THE MODERATING EFFECT OF CHARITY EFFICIENCY

Thus far, our findings demonstrate that, under conditions of identity congruence, interdependent consumers prefer a donation-based promotion that facilitates collectivist goals (e.g., to connect with and help others) that are presumed to guide the behaviors of these consumers. Over the past several years, there has been increased attention in the media and among consumers regarding the accountability and effectiveness of charities (Gordon, Knock, and Neely 2009), spawning organizations such as Charity Navigator (the largest nonprofit rater) that provide guides to intelligent giving by evaluating charity efficiency (i.e., the degree to which the monies collected by a charitable organization actually benefit the associated cause).

The presence of high efficiency ratings may facilitate charitable giving—including selection of donation-based promotions—by serving to offset the general stereotype many consumers hold for nonprofit entities as incompetent (Aaker, Vohs, and Mogilner 2010).⁴ In contrast, ratings that reflect a charity's inefficiency may promote skepticism, which undermines consumer response to corporate social responsibility initiatives (Barone, Miyazaki, and Taylor

2000), including donation-based sales promotions. Indeed, previous research has shown that the availability of Charity Navigator ratings affects consumer giving, with declining ratings resulting in fewer contributions to organizations (Gordon, Knock, and Neely 2009). This effect of rating information may be particularly influential among people whose giving is prompted by collectivist goals (i.e., providing assistance to others), such as interdependent consumers.

We propose that when consumers perceive the charity featured in a donation-based promotion as an inefficient steward of the funds it collects, the benefits provided to other people presumed to drive preferences for such offers may be undermined to the point at which they become less attractive relative to the personal benefits (cost savings) associated with price discounts (Henderson and Arora 2010). When consumers view the charity as more efficient in its efforts to benefit a social cause, however, the presumed benefits of donations and discounts should remain intact, prompting a preference for donations observed in the prior studies. Note that this influence of charity efficiency on promotion preferences should be limited to people with interdependent self-construals who are predisposed to considering alternative courses of action based on the consequences each holds for helping others (Brewer and Gardner 1996; Markus and Kitayama 1991). Conversely, variation in charity efficiency seems unlikely to affect the decisions of consumers possessing independent self-construals, given the relative indifference of these consumers with respect to the welfare of others in general and toward donation-based sales promotions in particular. To examine these possibilities, we manipulated efficiency ratings associated with an identity-congruent cause featured in a donation-based promotion in Study 3.

Method

A total of 133 university staff and students (78% female; $M_{\text{age}} = 30.64$ years, $SD = 14.32$ years, range = 19–63 years) participated in the study. Participants first completed the self-construal measure used in Studies 1 and 2a (introduced as a “personality study”) and then took part in an ostensibly unrelated market research study soliciting their evaluations of local companies partnering with a charitable organization called America's Harvest that (unbeknownst to participants) was a fictitious organization. After receiving some information about the charity (which included the charity efficiency manipulation), participants were asked to choose one of two coupons as a token of appreciation for their involvement. One coupon offered \$1 off the purchase of any hot coffee or tea at a local university coffee bar, and the other coupon offered a \$1 donation to America's Harvest with the full-price purchase of a hot coffee or tea.⁵ After making their coupon choice, participants completed a charity efficiency manipulation check and were debriefed. The debriefing informed participants of the fictitious nature of the charity described but assured participants that their coupon was

³We appreciate two anonymous reviewers' suggestions to examine both these issues.

⁴This line of thinking may cause one to question the self-construal and cause-related social identity effects observed in the preceding studies, which did not manipulate charity efficiency. Note, however, that these effects were limited to identity-congruent conditions in which participants were familiar with and/or identified with the causes featured in the donation-based promotions and that participants evaluated such causes relatively favorably in pretests. Accordingly, it seems unlikely that participants would have applied any general stereotype they held for nonprofits such as charities to the specific identity-congruent causes employed in these studies.

⁵We note that when participants were making the coupon choice, the donation coupon was described as benefiting America's Harvest. Because this is a fictitious organization and the coupons could actually be redeemed, the printed coupon they received after making their choice indicated the specific details for redeeming their coupon at the local university coffee bar; the rationale was explained in detail to participants in the experimental debriefing.

valid and that it could either be redeemed for a beverage at the coffee bar (for those selecting the discount) or would generate a donation at an existing local food bank (for those choosing the donation).

Self-construal. We assessed independent (12 items, $\alpha = .72$) and interdependent (12 items, $\alpha = .76$) chronic self-construals (1 = “strongly disagree,” and 7 = “strongly agree”) as in the previous studies. Positive scores indicated relative interdependence ($M = .01$, $SD = .09$).

Charity efficiency. We randomly assigned participants to one of two charity efficiency conditions. After reading a brief description of America’s Harvest (portrayed as a domestic hunger-relief charity that had originated in the Midwest but was expanding its efforts to the local region), participants in the low- (high-) efficiency condition were told that America’s Harvest had received two (four) out of four stars from Charity Navigator (described as an independent rater of charities) and were further informed that this poor (positive) rating was due to its inefficient (efficient) use of funds. Additional details indicating the percentage of total revenues that supported the program’s mission of hunger relief compared with administrative expenses (adapted from Charity Navigator’s website) were also provided.

Pretest participants ($N = 33$) viewed the charity as less efficient at using its funds in the low-efficiency (two-star) condition ($M = 2.90$) than in the high-efficiency (four-star) condition ($M = 4.83$; $t = 3.20$, $p < .01$). Participants also believed that they could put their own money to better use than would the charity to a greater extent in the two-star (vs. four-star) condition ($M = 5.30$ vs. 4.22 ; $t = 2.03$, $p < .05$). Consistent with the findings of previous research (e.g., Aaker, Vohs, and Mogilner 2010), participants in the low-efficiency condition also believed that the charity was less competent ($M = 3.30$ vs. 5.10 ; $t = 3.80$, $p < .05$) and thus were more skeptical of the organization ($M = 5.30$ vs. 3.91 ; $t = 2.40$, $p < .05$) than participants in the high-efficiency condition. Importantly, identity congruence did not differ by charity efficiency condition ($M = 3.74$ vs. 3.30 ; $t = .66$, n.s.).

Results

Manipulation check. After making their choice, participants responded to the following measure: “How efficient is America’s Harvest at using funds for its mission’s programs relative to other charities?” (1 = “not efficient at all,” and 7 = “very efficient”). Participants in the high-efficiency condition ($M = 5.59$) perceived the charity as more efficient ($t = 11.54$, $p < .01$) at using its funds than those in the low-efficiency condition ($M = 2.93$).

Coupon choice. We theorized that interdependent consumers’ preference for donation-based promotions we observed previously would be attenuated when the cause associated with such promotions involved an inefficient charity. To examine this expectation, we conducted a binary, logistic regression. Self-construal was not significant, but the effect of charity efficiency was significant ($b = .46$, $\chi^2(1) = 5.16$, $p < .05$). More important, the predicted self-construal $\times$ charity efficiency interaction on coupon choice was significant ($b = .48$, $\chi^2(1) = 4.83$, $p < .05$). To interpret this interaction, we examined the simple slope of self-construal by charity efficiency. As we predicted, when the charity was rated

as inefficient, self-construal did not influence promotion choice ($b = -.32$, $\chi^2(1) = .98$, n.s.). In contrast, and consistent with results from our previous studies, when the charity received high efficiency ratings, interdependent consumers were more likely to select the donation than were independent consumers ($b = .64$, $\chi^2(1) = 4.83$, $p < .05$). We present the results in Figure 5 by conducting median splits of self-construal.

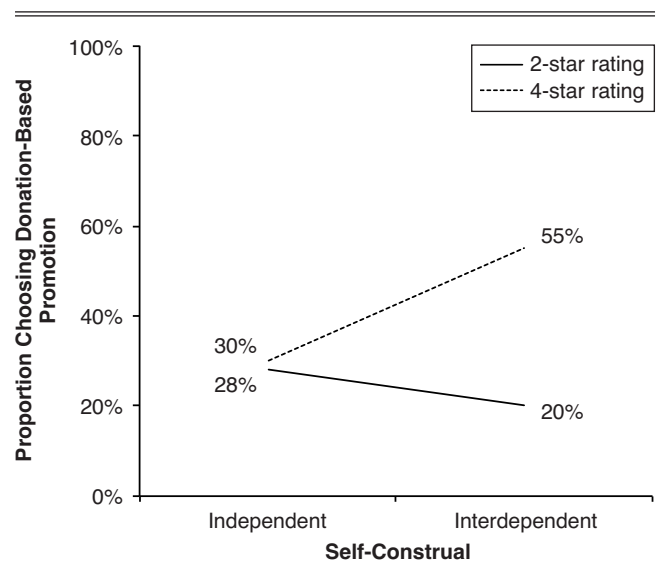
Discussion. When the donation promotion featured an efficient charity, the results of Study 3 confirm our previous findings, as evidenced by interdependent participants’ heightened preference for the donation. However, this preference was eliminated when the donation-based promotion benefited an “inefficient” charity. Thus, findings from Study 3 both corroborate (in the efficient charity condition) and qualify (when an inefficient charity was involved) our results reflecting interdependent participants’ preferences for donations.

These findings also qualify our previous conclusions about the role of identity congruence. We show that the influence of self-construal and cause-related social identities is limited to when donation-based preferences involve a charity whose efforts are relevant to consumer interests (Studies 1 and 2). In Study 3, we find that the moderating influence of charity efficiency indicates that identity congruence may not necessarily be sufficient to produce such effects. These results demonstrate a boundary condition for donation preferences of interdependent consumers. In contrast, in Study 4, we aim to identify a theoretically based variable that attenuates the discount preference of independent consumers documented in our previous studies.

STUDY 4: THE MODERATING ROLE OF PRODUCT TYPE

As we noted previously, price discounts primarily benefit purchasers of the featured product rather than other people. This benefit is compatible with the individualistic goals

Figure 5
STUDY 3: EFFECT OF SELF-CONSTRUAL AND CHARITY EFFICIENCY ON PROMOTION CHOICE



held by independent consumers that shape their preference for discounts over donations. Note that effects consistent with this expectation obtained in our previous studies employed products (e.g., bottled water, cereal, coffee) that could be considered nonindulgent items. Although the purchase and consumption of such items are typically presumed to be relatively guilt-free, the same cannot be said of more indulgent products (Khan and Dhar 2006; Strahilevitz and Myers 1998). In addition to inducing feelings of guilt, the purchase/use of indulgent products is difficult for consumers to justify. As we detail next, these differences in indulgent versus nonindulgent products may affect the promotion preferences of independent consumers.

Prior work has demonstrated that the negative feelings (e.g., guilt) associated with indulgent products can be compensated for by linking the purchase of such items to charitable donations (Strahilevitz and Myers 1998). The “warm glow” that characterizes the moral satisfaction people feel as a result of charitable giving (e.g., Andreoni 1990; Kahneman and Knetsch 1992) can provide an affective balance to the guilt induced by indulgent products (Khan and Dhar 2006). In particular, the guilt that accompanies the purchase of indulgent products may create an impetus for independent consumers to be more positively inclined to buy such products when doing so triggers a donation to a charity. Thus, these people should exhibit stronger preferences for donation-based promotions when purchasing indulgent items, insofar as the warm glow of making a donation affords a means of affectively accommodating the guilt associated with such products. However, when buying non-indulgent (e.g., healthy) products that do not engender feelings of guilt, independent consumers should (as observed previously) prefer discount-based promotions that satisfy their individualistic motives. In contrast, as documented in our prior studies, interdependent consumers should prefer donation-based promotions and should do so regardless of product type insofar as their motives are more chronically aligned with collectivist goals (e.g., helping others), even when the product does not elicit guilt.

In addition to investigating these possibilities, we also explore the extent to which promotion choice subsequently influences consumer identities.⁶ As demonstrated in prior research (LeBoeuf, Shafir, and Bayuk 2010; Reed 2004), as well as in our previous studies, identity salience can significantly influence choice behaviors. A relatively unexplored issue in the literature involves whether choice can shape social identities. For example, engaging in prosocial “helping” behaviors can positively influence self-attributions and self-esteem (Weinstein and Ryan 2010). The warm glow or moral satisfaction that arises from altruistic behaviors (Andreoni 1990; Kahneman and Knetsch 1992) such as choosing a donation-based promotion may subsequently (and positively) affect social identity (e.g., moral identity; Aquino et al. 2009). This potential for the choice of a donation-based behavior to heighten a consumer’s moral identity accessibility may, however, depend on his or her chronic self-construal tendencies. The postchoice identity consequences arising from choosing donation-based promotions may be particularly pronounced for independent consumers

who, because of their predispositions, are not likely to frequently perform behaviors that help others. In contrast, selecting a donation-based promotion may have less of an impact on the postchoice identities of interdependent consumers in light of their chronic tendencies toward engaging in helping behaviors. To the best of our knowledge, the potential influence of promotion choice on postchoice identity has not yet received empirical attention.

Method

A total of 168 undergraduate students (47% female) participated in the study for research credit. Participants first completed the Singelis (1994) scales for independent (12 items, $\alpha = .74$) and interdependent (12 items, $\alpha = .83$) chronic self-construals used in our previous studies, with positive scores indicating relative interdependence ($M = .01$, $SD = .10$). After a 15-minute unrelated filler task, participants were informed they would complete a market research shopping study. In this task, participants chose between a discount and donation promotion for either an indulgent (M&M/Mars candy bar) or a healthy (Special K 90-calorie bar) snack product. Specifically, participants were informed that two different promotions (manipulated on a within-subject basis) were being evaluated for use in selling a snack bar (which retailed for \$1) to the market. For the discount promotion, participants received the snack bar and 50 cents; for the donation promotion, participants received the snack bar with 50 cents donated to the same university-affiliated charity used in Studies 1 and 2a (i.e., AggiesCAN). The particular promotion participants chose to receive (promotion choice) served as the dependent variable.⁷

Next, participants indicated the extent to which their promotion choice said something about the importance they placed on various identities (i.e., being part of a larger group, being intelligent, being independent, and being a moral person). We used responses to these (seven-point) measures, adapted from Aquino et al. (2009), to gauge the accessibility of various social identities participants potentially held, including their moral identity (i.e., being a moral person). This measure of moral identity accessibility is consistent with, and should presumably reflect the effects of, the “community feeling” (Aquino et al. 2009; Grouzet et al. 2005) as well as the warm glow and moral satisfaction arising from altruistic behaviors (Andreoni 1990; Kahneman and Knetsch 1992) such as choosing a donation-based promotion.

Results

Promotion choice. We anticipated that, for nonindulgent products, the findings from Study 4 would replicate the effect of self-construal on promotion preferences observed in our previous studies, with interdependent consumers exhibiting a stronger tendency to select donations than independents. However, we theorized that this self-construal

⁶We appreciate an anonymous reviewer’s suggestion to examine this effect.

⁷We note that the percentage of participants choosing the donation-based promotion in this study was higher than that observed in our prior studies. We believe this may have occurred because participants were unexpectedly receiving 50 cents when choosing the price discount rather than giving 50 cents when making the donation. In addition, the visibility of their choice to the experimenter may also have increased their preference for the donation-based promotion.

effect would be eliminated for promotion preferences observed with respect to indulgent products because of the elevated preferences of independent consumers for donations under such conditions. We conducted a binary logistic regression, which revealed the predicted self-construal $\times$ product type interaction ($b = -.56$, $\chi^2(1) = 4.48$, $p < .05$). Neither the effect of self-construal nor product type was significant. To interpret this interaction, we examined the simple slope of self-construal for each product type. When the promotion pertained to a healthy product, interdependent respondents were more likely to choose the donation than were independent respondents ($b = .91$, $\chi^2(1) = 4.54$, $p < .05$). However, when the promotion pertained to an indulgent product, self-construal did not influence promotion choice ($b = -.21$, $\chi^2(1) = .45$, n.s.). We illustrate the results by conducting median splits of self-construal (see Figure 6).

Postchoice identity. We also explored whether self-construal and promotion choice influenced participants' postchoice identity—in particular, their sense of moral identity. We found that the interaction of self-construal and promotion choice influenced moral identity ($b = -.15$, $t = -2.11$, $p < .05$). When consumers chose the discount promotion, moral identity did not differ by self-construal ($b = .04$, $t = .39$, n.s.). In contrast, after choosing the donation-based promotion, independent consumers reported placing a greater importance on being a moral person than did interdependent consumers ($b = -.26$, $t = -2.56$, $p < .05$; see Figure 7). These results suggest that the moral identity of interdependent consumers, who have chronic goals to benefit the welfare of others and who presumably tend to engage in behaviors that benefit others, is relatively unaffected by a single instance of such behavior (in particular, their choice of a donation-based promotion). However, the sense of moral identity that independent consumers experienced was more salient after selecting the donation-based promotion. Presumably, the moral identity of these consumers, who are

Figure 6
STUDY 4: EFFECT OF SELF-CONSTRUAL AND PRODUCT TYPE ON PROMOTION CHOICE

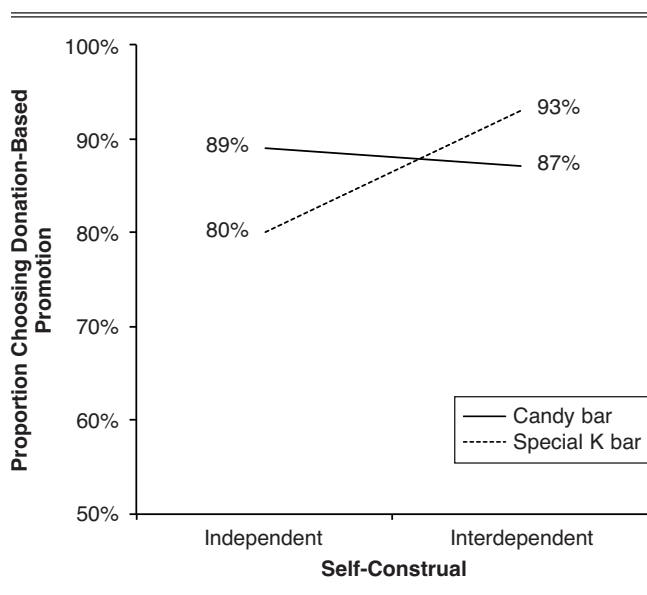


Figure 7
STUDY 4: EFFECT OF SELF-CONSTRUAL AND PROMOTION CHOICE ON MORAL IDENTITY ACCESSIBILITY



not predisposed toward engaging in altruistic behaviors, is shaped to a much greater extent by situational factors (i.e., their promotional choice) than by their chronic, dispositional tendencies. To help alleviate the potential for demand, we also measured other postchoice identities. We found that these postchoice identity measures did not pertain to participants' moral identities and did not reveal any interactive effect of self-construal and promotion choice.⁸

GENERAL DISCUSSION

This research adds to the knowledge of an increasingly used form of sales promotions that links product purchase to charitable donations (Henderson and Arora 2010; Krishna and Rajan 2009). Specifically, we provide an initial inquiry into how multiple social identities may influence consumer preferences for discounts versus donations. As such, we make a meaningful contribution to the theoretical understanding regarding the interplay of multiple identities by examining interactive effects between self-construal and specific (e.g., cause-related) social identities on consumer decision making (Markus and Wurf 1987; Oyserman 2009). From a more pragmatic angle, we provide insight into the managerially important question of when managers should invest their promotional budgets to fund discounts versus donations. In the following subsections, we discuss these contributions in greater detail.

Theoretical Implications

Consumer research has identified both the congruence and the salience of social identities as factors that significantly influence consumer evaluations (LeBoeuf, Shafir, and Bayuk 2010; Reed 2004). Moreover, research has recognized that consumers may hold multiple identities and that these identities are malleable and may be organized hierarchically (Markus and Kitayama 1991; Oyserman 2009). However, empirical work on the interplay of multiple identities is rather limited (see Winterich, Mittal, and

⁸We conducted analysis with product type as a factor, but it did not have a significant effect, nor did it interact with self-construal or promotion choice; thus, we excluded it from all reported postchoice identity analysis.

Ross 2009). We attempt to fill this void in the literature by examining the relative influence of self-construal and cause-related social identities.

By demonstrating the moderating roles of identity congruence and identity salience, we also shed light on the process through which social identities influence consumer decisions. In this regard, several findings from the current research serve to temper earlier conclusions about self-system effects on decision making. For example, the chronic accessibility of self-construal suggests that it may have a relatively pervasive influence on judgment that is unlikely to be constrained by contextual factors (Markus and Wurf 1987). We suggest that self-construal effects on promotion evaluations may be circumscribed to certain conditions on the basis of the congruence and salience of accessible social identities. We also show that the influence of self-construal may depend on contextual factors associated with these offers in terms of the efficiency of the charity featured in the donation-based promotion as well as the specific product being promoted. In providing such evidence, we demonstrate that the influence of self-construal may be not only chronic but also situationally derived (Markus and Wurf 1987; Oyserman 2009). In qualifying the expectation that self-construal will have omnibus effects on judgment, we provide support for models of situated cognition (Oyserman 2009), in this case, with respect to the influence of multiple social identities. Also, though considered here in the context of promotion preferences, we provide broader insights into how consumers' multiple social identities may combine to influence judgments in other consumer decision-making domains (e.g., brand extension evaluations; Ahluwalia 2008).

We also offer a contribution to the sales promotions literature. Given the vast number of studies that have examined sales promotions and social identification independently, there is a surprising dearth of research considering the nexus of these two areas. Although notable exceptions exist (e.g., Barone and Roy 2010), this previous research has been limited to investigating how social identification affects evaluations of traditional discounts. Thus, in looking at how multiple social identities that exist in a self system can shape preferences for discounts versus donations, we provide a novel contribution to the promotions literature. More specifically, we enhance the understanding of sales promotions that involve charitable donations by demonstrating that evaluations of such offers may be influenced by social identification processes unexplored in previous research on this form of sales promotion (e.g., Arora and Henderson 2007; Henderson and Arora 2010; Krishna and Rajan 2009).

Although we focus on examining how social identification influences promotion choice, we also present some preliminary findings suggesting that consumers' choices subsequently influence the accessibility of their identities. Although the notion that identities can influence evaluations and choice is well established (LeBoeuf, Shafir, and Bayuk 2010; Oyserman 2009; Reed 2004), the extent to which these behaviors subsequently influence a person's identity is not fully understood. Although research on licensing effects (e.g., Khan and Dhar 2006) demonstrates that committing to an altruistic act provides consumers with a basis for rationalizing subsequent indulgent behaviors also provides some initial insight into this possibility, additional work in this area is sorely needed. In particular, longitudinal

investigations might prove particularly probative in assessing whether consumers' choice of donation-based promotions holds lasting, quasi-permanent identity implications. To this end, it may be worthwhile to consider whether the influence of promotion choice on consumer identities is sufficiently robust to extend to subsequent consumption behaviors. For example, if consumers can manage their guilt by purchasing indulgent products using donation-based promotions (as observed in Study 4), it is possible that this promotion preference will in turn also increase the quantity of the product purchased and/or the level of satisfaction consumers attribute to the resulting consumption experience; it may also make consumers more likely to consider donation-based promotions in the future. Clearly, how promotion preferences subsequently affect consumers' social identification and choice represents an area ripe for further inquiry.

Managerial Implications

Because different benefits are offered by traditional price discounts and tie-ins with charitable causes, managers need to have an understanding of the conditions under which consumers will prefer donations versus discounts. We suggest that embracing donations would be appropriate when such offers involve causes that are relevant to target consumers, particularly when these people are prone to adopting interdependent self-construals. Given the importance of identity congruence to the success of donation-based promotions, marketing managers of national or international companies may want to affiliate with one charity in their corporate social responsibility efforts in general (and with regard to designing donations in particular) as a means of simplifying their promotional strategies.

Nonetheless, it is important for managers to consider the heightened preference associated with donations involving causes that are congruent with the specific social identities held by target consumers. In selecting a partner charity, then, managers must recognize that consumers can hold multiple social identities and that associating brands with a cause that is relevant to one of these identities will lead to increased response rates for the promotion. Although this strategy may be especially beneficial in targeting donations to interdependent consumers, we suggest, on the basis of findings from Studies 2a and 2b, that the effectiveness of these tactics with regard to all consumers may be heightened by selecting relevant charities that are capable of making social identities particularly salient during promotional evaluations. Allowing customers to choose which charity their purchases support (e.g., K-12 school of choice with Target REDcard) is a feature of promotional programs managers may want to consider to promote identity congruence and, in doing so, enhance the response rates associated with donation-based offers.

We provide sharper insight into this issue by delineating the role of factors such as charity efficiency and product type on consumer response to donation-based promotions in Studies 3 and 4. Such findings hold implications regarding the benefits obtained for both the company and the charity affiliated with the donation-based promotion. In this regard, Study 3 shows that, given the vast array of choices consumers have in supporting charities, managers should emphasize the efficiency of the charity their firms have elected to partner with in formulating their donation-based

promotions. It may further benefit managers to consider deploying donation-based promotions when they market goods in relatively indulgent product categories because such offers may facilitate consumers in their efforts to offset the guilt associated with such purchases.

We propose that interdependent consumers prefer donations more than independent consumers because these offers benefit others. Would this pattern of effects be observed if promotions offered benefits to others that did not pertain to a charity? For example, if promotions provided benefits to other people (e.g., A Friend Eats Free), or promotional rewards benefitted for-profit organizations rather than the consumer or nonprofits (e.g., 2% cash back of your total purchase is given to your for-profit employer), would interdependent consumers continue to prefer these forms of “other-rewarding” promotions compared with those that directly reward the purchaser (e.g., discounts)? Along somewhat related lines, we focus on the relative preference of interdependent versus independent consumers for donation-based promotions without much consideration for absolute preferences. How would the general preference of interdependent (independent) consumers for donations (discounts) observed here be affected by variability in the incentive level associated with these two forms of sales promotions? For example, would interdependent consumers maintain their preference for donations when confronted with discount levels that far exceed the charitable contribution generated by their purchase, or vice versa? Furthermore, will interdependent consumers continue to choose donations when the reward to the self is of greater magnitude (i.e., donate \$100 to local charity when opening a checking account vs. receive \$100 cash for opening a checking account)? Examining consumer sensitivity to trade-offs in the incentives associated with discounts and donations represents a fruitful area for further research.

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